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National and Regional Commercial Banks in Australia

Loan for a loop: With the cash rate set to decline, interest income is expected to waver

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About

IBISWorld specializes in industry research with coverage on thousands of global industries. Our **comprehensive data and in-depth analysis** help businesses of all types gain quick and actionable insights on industries around the world. Busy professionals can spend less time researching and preparing for meetings, and more time focused on making strategic business decisions

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Standard Report

About This Industry

Definition

Industry enterprises are Australian-owned and -operated banks engaged in banking activities. National and regional banks primarily generate revenue through interest income on consumer and commercial loans, incurring liabilities through accepting deposits. Industry operators also generate revenue from investments, advances, fees and commission income.

Codes

2006	6221-Banking

What's Included

- Home loans
- Business loans
- Personal lending
- Bank accounts

Companies

- Commonwealth Bank of Australia
- NAB
- Westpac
- ANZ Group
- Bendigo & Adelaide Bank
- Macquarie

Related Industries

Domestic industries

Competitors

- Credit Unions and Building Societies in Australia
- Non-Depository Financing in Australia
- Foreign Banks in Australia
- Buy Now Pay Later in Australia

Complementors

- Superannuation Funds in Australia
- Financial Asset Investing in Australia

International industries

- Global Commercial Banks
- Commercial Banking in the US
- Savings Banks & Thrifts in the US
- Private Banking Services in the US
- Commercial Banking in Canada
- Banking in New Zealand
- Banks in the UK
- Financial Technology in the UK
- Banks in Ireland
- Commercial Banks in China

Related Terms

BIG FOUR

The four largest domestic banks in Australia (Commonwealth Bank, Westpac, NAB and ANZ).

NET INTEREST SPREAD

The difference between the interest rate a bank charges on loans issued, and that paid to customers depositing funds with the bank.

CASH RATE

The rate that banks lend funds to one another overnight. It is set by the Reserve Bank of Australia.

CET1 (COMMON EQUITY TIER 1)

Capital which primarily consists of common shares and retained earnings of a bank.

NEOBANK

A technology-driven bank that is established and operated digitally, without a traditional branch network.

Additional Resources

- Reserve Bank of Australia
- Australian Prudential Regulation Authority
- Australian Banking Association

At a Glance

		'20-'25	'25-'30
Revenue	$259.2bn	↑ 9.3 %	↑ 0.3 %
Employees	159k	↑ 0.1 %	↓ 0.0 %
Businesses	41	↓ 0.5 %	↑ 0.5 %
Profit	$57.8bn	↑ 8.3 %	
Profit Margin	22.3%	↓ 1.1 pp	
Wages	$36.5bn	↑ 2.9 %	↑ 4.1 %

Five-year growth rates display historic and forecast CAGRs

Major Players

Company	Revenue	Market Share
Commonwealth Bank of Australia	$56.3bn	21.7%
NAB	$47.4bn	18.3%
Westpac	$47.1bn	18.2%
ANZ Group	$45.3bn	17.5%
Other Companies	$63.1bn	24.4%

Products and Services

Item	Revenue	Market Share
Home loans	$161.5bn	62.3%
Business loans	$90.2bn	34.8%
Personal lending	$6.7bn	2.6%
Other revenue sources	$777.7m	0.3%

Key External Drivers

Key External Drivers	Impact
Cash rate	Positive
Number of housing transfers	Positive
Residential housing loan rates	Positive
Total capital expenditure	Positive
Ratio of interest payments to disposable income	Positive

Key Takeaways

Performance

- Cash rate rises challenged banks. The RBA's sharp cash rate hikes boosted interest rates, with banks getting more interest income per loan. However, interest expenses are expanded at the same time.
- The era of inexpensive credit has ended. Low interest rates over the course of the pandemic cut interest expenses for banks and encouraged steady mortgage uptake from owner-occupiers and investors.

Products and Markets

- High interest rates have hit home loans. In the home loans segment, high interest rates have meant greater returns from existing loans. On the other hand, steep borrowing costs are pricing some consumers out of new mortgages.
- Personal loans compete with non-traditional payments. Banks face growing competition from innovative payment technologies, like pay later services, that have flooded the market in recent years.

SWOT

Strengths	High & Decreasing Barriers to Entry
	Low & Increasing Level of Assistance
	Low Imports
	Low Capital Requirements
Weaknesses	High Competition
	Very High Volatility
	Low Profit vs. Sector Average
	High Customer Class Concentration
	High Product/Service Concentration
	Low Revenue per Employee
Opportunities	High Revenue Growth (2020-2025)
	Total capital expenditure
Threats	Low Revenue Growth (2025-2030)
	Low Performance Drivers
	Number of housing transfers

Industry Structure

Characteristic	Level	Trend
Concentration	High	
Barriers To Entry	High	Decreasing
Regulation and Policy	High	Increasing
Life Cycle	Mature	
Revenue Volatility	Very High	
Assistance	Low	Increasing
Competition	High	Increasing
Innovation	Moderate	

Executive Summary

Loan for a loop: With the cash rate set to decline, interest income is expected to waver

Banks are grappling with a transition from years of loose monetary policy to tighter financial conditions. Soaring inflation prompted an RBA pivot in the face of surging energy, housing and food prices. The RBA hiked the cash rate multiple times from May 2022 to November 2023. Prior to this, banks cashed in on high residential housing prices, with low interest rates and government schemes encouraging strong mortgage uptake over the course of the pandemic. APRA also eased the interest rate buffer in 2019, before raising it in 2021. Interest hikes have pushed up banks' incomes over the past few years. Meanwhile, banks' interest deposit expenses and funding costs have also risen while elevated interest rates have dampened industry profit margins over the past few years. Overall, industry revenue is expected to expand at an annualised 9.3% over the five years through 2024-25, to $259.2 billion. This includes an anticipated slump of 8.3% in 2024-25, as inflationary pressure shows signs of easing, the cash rate easing, weighing on interest income.

As banks passed on cash rate rises through higher interest rates, the RBA's policy approach has had a cascading effect on the economy. There's a lag before these hit customers, with some fixed-rate mortgages gradually rolling over through 2023 and 2024. Banks are securing more interest income from existing loans but must manage inflated borrowing costs and bigger payouts on deposit accounts. Residential housing prices are set to stabilise, while heavy mortgage payments will price out some potential homeowners. Banks will be monitoring consumer spending amid inflationary pressures and spiralling borrowing costs.

APRA has strengthened rules for managing interest rate risks, effective from October 2025. The updated Prudential Standard APS 117 requires major financial institutions to implement robust frameworks to manage these risks effectively. The big four will need to keep up with rapid technological change, managing cyber security as consumers embrace online financial services. Competition isn't easing up as smaller technology-focused firms disrupt the finance sector and foreign banks tap into the Australian market. Revenue is projected to climb at an annualised 0.3% over the next five years, to total $262.6 billion in 2029-30.

Performance

Key Takeaways

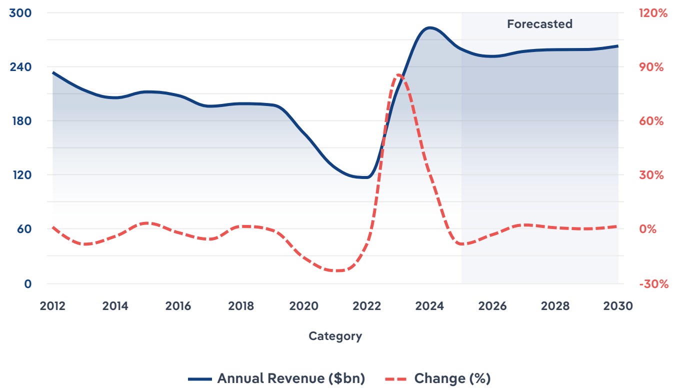
Cash rate rises challenged banks. The RBA's sharp cash rate hikes boosted interest rates, with banks getting more interest income per loan. However, interest expenses are expanded at the same time.

The era of inexpensive credit has ended. Low interest rates over the course of the pandemic cut interest expenses for banks and encouraged steady mortgage uptake from owner-occupiers and investors.

Performance Snapshot

Revenue

Total value ($) and annual change from 2012 – 2030. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Revenue

$259.2bn

'20-'25 ↑ 9.3 %

'25-'30 ↑ 0.3 %

2025 Revenue Growth

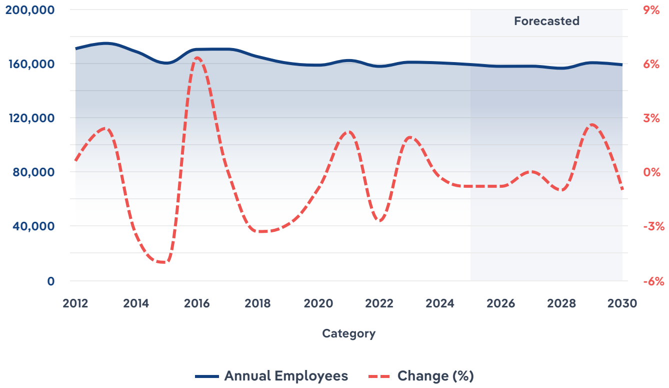
8.3 % Decreasing

Revenue Volatility

Very High

Employees

Total number of employees and annual change from 2012 – 2030. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Employees

159k

'20-'25 ↑ 0.1 %

'25-'30 ↓ 0.0 %

Employees per Business

3,879

'20-'25 ↑ 0.5 %

'25-'30 ↓ 0.5 %

Revenue per Employee

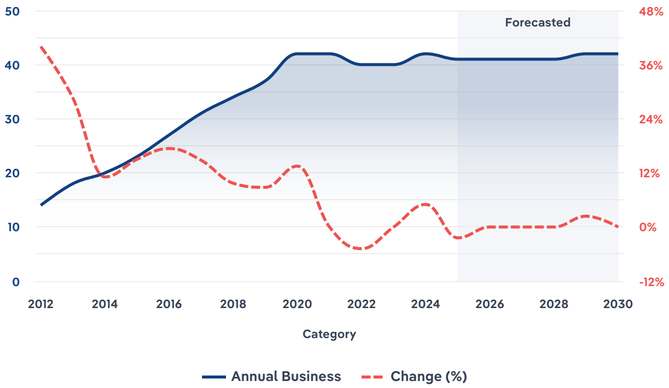
$2m

'20-'25 ↑ 9.3 %

'25-'30 ↑ 0.3 %

Business

Total number of businesses and annual change from 2012 – 2030. Includes 5-year outlook.



IBISWorld Source: IBISWorld

Businesses

41

'20-'25 ↓ 0.5 %

'25-'30 ↑ 0.5 %

Employees per Business

3,879

'20-'25 ↑ 0.5 %

'25-'30 ↓ 0.5 %

Revenue per Business

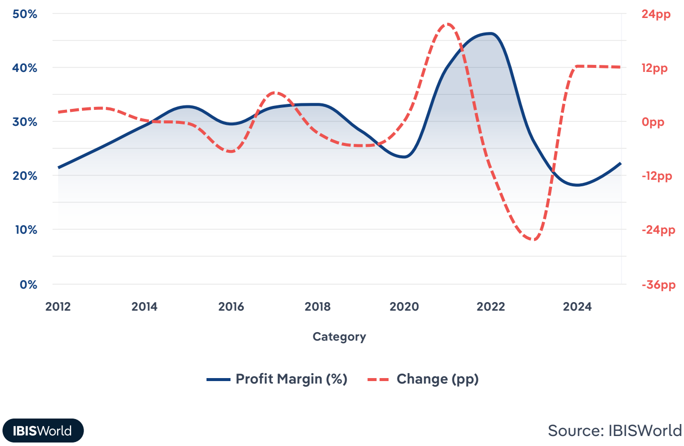
$6.3bn

'20-'25 ↑ 9.9 %

'25-'30 ↓ 0.2 %

Profit Margin

Total profit margin (%) and annual change from 2012 – 2030



Source: IBISWorld

Total Profit
$57.8bn '20-'25 ↑ 8.3 %

Profit Margin
22.3% '20-'25 ↓ 1.1 pp

Profit per Business
$1.4bn

Current Performance

↑ 2020-25 Revenue CAGR +9.3%

What's driving current industry performance?

The Reserve Bank of Australia (RBA) cash rate movement influence industry performance

- In line with major central banks worldwide, the RBA aggressively raised the cash rate from May 2022 through November 2023, altering banks' operating landscape. Over this period, the RBA lifted the cash rate by 4.25 percentage points, bringing it to 4.35%, the highest level in over a decade. This steep hike followed a prolonged period of historically low rates aimed at taming inflation driven by global commodity price shocks, strong consumer spending and inexpensive credit.
- The elevated cash rate placed upwards pressure on mortgage loan rates, affecting loan affordability. As interest payments climbed, housing demand cooled, with the number of housing transfers dropping by 18.7% in 2022-23. Reduced lending volumes constrained revenue for banks. Yet, banks benefited from an elevated cash rate, contributing to strong interest revenue growth over the two years through 2023-24.
- Cash rate hikes have slowed inflation, with CPI dropping within the RBA's target range, reaching 2.4% over the year through December 2024. With inflation cooling, the RBA subsequently lowered the cash rate in February 2025 to stimulate economic activity and lift downstream consumer spending. Banks have received some relief as mortgage affordability improved slightly and loan volumes somewhat recovered, though profitability pressures remain, requiring banks to manage margins amid ongoing funding challenges.

The end of historically low rates reshaped margins as banks faced higher funding costs

- Prior to the rapid tightening that began in 2022, banks operated for several years in a prolonged low-interest-rate environment implemented by the RBA to support the economy during the pandemic. While the low cash rate initially reduced banks' interest expenses and boosted profit margins, it also constrained banks' ability to earn substantial interest on loans, contributing to banks' revenue waning over the two years through 2021-22.
- As a crucial pandemic-era support strategy, the RBA introduced the Term Funding Facility (TFF), offering banks low-cost funds to maintain lending activity. Yet, after the TFF ended in June 2021, banks had to repay approximately $188 billion by June 2024. This repayment intensified liquidity management pressures and raised banks' funding costs, pushing institutions towards more expensive wholesale market funding to meet liquidity needs.
- The shift from low-interest funds to pricier wholesale funding strained banks' net interest margins. Banks had to rapidly adjust their funding models by balancing competitive loan pricing to attract borrowers against these higher funding expenses, placing greater scrutiny on cost management and strategic pricing decisions.

Banks are servicing home loans in a fluctuating residential housing market

- Home loans represent the largest product segment for banks, with changes in the residential property market influencing the major banks' interest income streams. This means shifts in housing demand, affordability and interest rates impact banks' earnings and lending activity.

- Over the course of the pandemic, subdued interest rates and government incentives encouraged prospective homeowners to take the plunge and commit to mortgages, boosting home loan volumes despite lower interest income for banks.
- Following the sharp rise in rates from May 2022, mortgage affordability dwindled. Higher interest payments contributed to a cooling in the previously heated housing market, with fewer households seeking homeownership and opting to rent. This trend has placed downwards pressure on the residential housing market despite growth in residential housing loan rates.
- Residential loan rates are set to gradually drop during 2024-25, in line with the easing by the RBA. Lower mortgage interest payments will help revive housing demand, providing banks with opportunities to expand lending volumes. Yet, sustained pressure from new regulations and taxes—like Victoria's Reduction of Land Tax Threshold and expansion of the Vacant Residential Land Tax (VRLT)—will likely continue hampering investor activity, keeping banks cautious about growth prospects in the short term.

Digital transformation accelerates clients' shift away from traditional banking

- Banks have accelerated the move towards digital and online banking services. Digital adoption intensified during COVID-19 lockdowns when consumers shifted heavily towards online and mobile banking platforms in response to restrictions on physical interactions and branch closures.
- The shift to digital has prompted banks to close many underperforming physical branches, permanently reducing their dependence on extensive physical networks. For this reason, the number of establishments has plummeted over the past few years. For instance, Westpac closed just under 400 branches between 2020 and 2024, reflecting broader industry-wide branch closures aimed at cutting maintenance and operational spending.
- Banks invested heavily in enhanced technology to meet increased demand for digital services—developing user-friendly mobile apps, refining online banking interfaces and upgrading cybersecurity measures. These initiatives improved customer interactions and accessibility, influencing market competitiveness as traditional banks adapted to compete head-to-head with digital-only providers.
- Increased digital and mobile banking adoption created opportunities for non-traditional financial institutions, particularly digital-only banks and neobanks. This heightened competition prompted traditional banks, notably Australia's big four, to ramp up investment in their digital infrastructure to protect their existing market shares and compete effectively with emerging digital threats.

Volatility

Very High

What influences industry volatility?

The cash rate guides banks and the wider economy

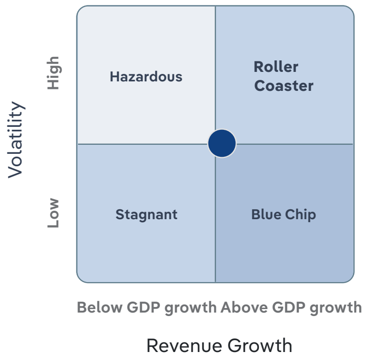
- The RBA sets monetary policy, with the cash rate target guiding lenders to set interest rates.
- High interest rates mean banks bring in more interest income per loan. Once interest rates are hiked, this impacts variable-rate home loans, and fixed-rate loans when they rollover.
- While banks generate more revenue per loan when the cash rate is raised, this puts pressure on consumer spending and slows uptake of new mortgages as demand for credit eases.
- The RBA's tight monetary policy has gradually flowed through to higher mortgage loan rates, although there's a lag as existing fixed-rate mortgages run their course and banks adjust to the cash rate easing in early 2025.

Trends in the property market have an outsized influence on banks

- Banks keep a keen eye on the property market, as most of their loan book consists of credit to owner-occupiers and investors. High residential housing prices inflate a bank's assets and can encourage investors to take out loans.
- While low interest rates during the pandemic drove strong home lending activity, elevated interest rates over recent years have reduced mortgage affordability, increasingly pricing out first-time homebuyers and cooling investor demand.
- Regulatory adjustments by APRA have also impacted banks' lending. In November 2021, APRA raised the minimum interest rate buffer, which assesses the eligibility of prospective home loans, to stabilise markets.
- Banks are continuing to navigate an environment where elevated rates weigh on new lending volumes and property price growth, even as interest rates begin easing in 2025.

Roller Coaster

Industry volatility vs. revenue growth (2021-2026 CAGR)



IBISWorld

Source: IBISWorld

Key Success Factors

How do successful businesses overcome volatility?

Implement superior financial management and debt management

Managing interest rates and other operational risks is crucial to a bank's success. Banks must employ a rigorous and conservative risk management policy that meets regulatory standards and instils confidence in their clients.

Raise revenue from additional sources

Banks that offer a range of products and services can better help offset tumbling revenue on loans during tougher periods.

Outlook

↑ 2025-30 Revenue CAGR +0.3%

What's driving the industry outlook?

Interest rate shifts set to shape lending conditions and banks' performance moving forwards

- The RBA's monetary policy changes will influence banks' performance over the next few years. Despite recent signs of inflation easing, interest rates are likely to remain relatively high in the short term, affecting loan affordability and demand for home loans. Many borrowers will feel the lingering effects of high interest rates into 2024-25, especially as fixed-rate mortgages continue rolling over into higher variable rates.
- Elevated interest rates dampen new home loan uptake as prospective borrowers find themselves priced out of an increasingly challenging property market. Yet, the RBA is set to continue gradually reducing the cash rate through 2024-25 as inflation moderates further. Lower interest rates could drive renewed mortgage market activity, lifting bank lending volumes.
- While easing rates will help loan demand recover, lower interest rates also mean banks earn less interest income per loan, subduing revenue growth. Banks facing these conditions must carefully manage pricing strategies, balancing competitive lending offers to attract borrowers while protecting margins over the coming years.

Banks brace for heightened regulation as regulators aim to mitigate interest rate risks

- Banks are preparing for heightened regulation over the coming years, driven by domestic factors and international events affecting confidence and stability.
- Compliance measures resulting from regulatory scrutiny associated with the Financial Services Royal Commission—including ongoing investigations and enforcement actions over alleged anti-money laundering breaches—will continue raising banks' operational costs. Banks will continue to incur expenses related to strengthening compliance teams, improving risk management procedures and maintaining higher capital buffers to satisfy new regulatory demands.
- Global events like the recent collapses of several US banks have prompted the Australian Prudential Regulation Authority (APRA) to tighten its stance on interest rate risk management and governance. APRA recently announced stricter requirements on banks' handling of interest rate risks, mainly aimed at smaller institutions with traditionally less sophisticated risk controls. Scheduled to take effect in October 2025, these regulations require banks to allocate more resources towards compliance, transparency and stress-testing procedures. Banking institutions, especially small-to-medium-sized lenders, will face increased pressure to manage costs associated with meeting more rigid regulatory standards.

Technological change is set to continue with a renewed focus on cybersecurity

- Technological change has swept the financial sector over the past decade, and this isn't slowing down as consumers continue to demand safe, consistent and integrated online banking services. In response, banks continue investing in digital capabilities, including online platforms, user-friendly interfaces, mobile applications, cloud infrastructures and robust data analytics.
- Financial technology (fintech) firms, including buy-now-pay-later brands and peer-to-peer lending platforms, continue challenging traditional banks by targeting younger, tech-savvy consumers. Major banks are adapting to fluid consumer preferences and doubling down on technological investment to maintain competitiveness. By integrating online services, banks can meet all consumer financial needs in one place.
- Cybersecurity is a growing priority to maintain consumer confidence and safeguard financial stability. Banks face an ongoing battle against highly sophisticated cyber threats that are becoming increasingly prevalent and disruptive. To counter this, banks must allocate extensive resources to develop advanced cyber defences and keep pace with evolving threats. For instance, CBA recently rolled out mandatory multi-factor authentication (MFA) for all NetBank customers, part of their broader $450 million cybersecurity upgrade to strengthen security controls and protect critical customer data.

ESG will continue to be at the forefront of banks' growth strategies

- Over the coming years, environmental, social and governance factors will continue to shape banks' growth strategies. Aligning lending and business practices with these sustainability criteria has become an industry priority, driven mainly by domestic and global commitments towards achieving net-zero carbon emissions.
- Banks will increasingly incorporate sustainability criteria into their lending risk assessments moving forwards. Firms that fail to meet environmental benchmarks will encounter growing challenges in accessing funds. Bank Australia's policy, effective February 2025, to restrict new car loans exclusively to electric vehicles demonstrates this shift.
- Major banks are already gearing their strategies towards extensive sustainability funding. For instance, Australia and New Zealand Banking Group Limited aims to provide a minimum of $100.0 billion in funding by 2030 to enhance social and environmental outcomes for its customers.
- Banks like Commonwealth Bank of Australia (CBA) will adjust significantly over the short term. From 2025, CBA will require its fossil fuel clients to demonstrate independently verified emission reduction plans. It will also cease financing specific fossil fuel-related infrastructures, like pipelines linked to new oil fields. As CBA's 2024 climate report outlined, fossil fuel loans make up just 0.2% of CBA's lending portfolio, highlighting the bank's clear ESG-driven outlook. These decisive portfolio adjustments signal how banks plan to adapt financing criteria and strategically manage risk in response to growing sustainability demands.

Life Cycle Mature

Why is the industry mature?

Contribution to GDP

The industry is outperforming the broader economy's contribution to GDP. Surging interest rates over recent years to combat inflation have bolstered revenue over the two years through 2023-24. Despite an easing cash rate, interest rates will remain relatively elevated in the short term.

Market Saturation

Banking services are fundamentally entrenched in the economy, underpinning most aspects of individual and corporate financial activities. Consumers and businesses rely heavily on banks to deposit income, take out loans and access financial markets. While technological disruptions have given rise to fintech and alternative payment methods, core banking services—like mortgages, deposits and business loans—remain essential and largely irreplaceable.

Innovation

Rapid technological advances are reshaping the financial sector. Consumers are demanding safe, reliable and convenient online options to manage their finances. Contactless payments and buy now pay later services have emerged in recent years. Major banks are investing significantly in digital capabilities—including sophisticated mobile apps, streamlined online banking and robust security measures—to retain customers.

Consolidation

The big four banks dominate the industry. ANZ acquired Suncorp Bank following the Federal Treasurer's approval in June 2024 and amendments to the Metway Merger Act in July 2024. Despite this consolidation trend, foreign banks and smaller domestic banks challenge the incumbents, buoyed by regulatory measures.

Technology & Systems

Technology is critical to modern banking operations, with high volumes of transactions domestically and across borders. Banks have to manage sensitive customer information, and ensure watertight security. Cyber security has emerged as a key consideration, with attacks threatening financial stability.

Life Cycle

Indication of the industry's stage in its life cycle compared to similar industries

*Growth is based on change in share of economy combined with change in establishment numbers

IBISWorld

Source: IBISWorld

Products and Markets

Key Takeaways

High interest rates have hit home loans. In the home loans segment, high interest rates have meant greater returns from existing loans. On the other hand, steep borrowing costs are pricing some consumers out of new mortgages.

Personal loans compete with non-traditional payments. Banks face growing competition from innovative payment technologies, like pay later services, that have flooded the market in recent years.

Largest Market
$161.5bn Home loans

Product Innovation
Moderate

Products and Services

How are the industry's products and services performing?

Banks braced for change as cash rate hikes rippled through the home loans segment

- The home loans segment comprises loans issued to owner-occupiers and investors to purchase residential property.
- Home loans can be fixed-rate loans, variable-rate loans or a combination of the two, with durations ranging between 25 and 30 years. Banks earn revenue from interest charged on the principal amount borrowed.
- Record-low interest rates and government initiatives to support first-home buyers during the pandemic saw residential property prices surge and banks' home loan assets expand.
- As the RBA tightened its monetary policy, the residential housing market eased. While banks can get more from their housing loans, many prospective buyers have been priced out and delayed taking on mortgages. Despite the RBA easing the cash rate in early 2025, an elevated cash rate environment has weighed on the home loans segment's revenue share in recent years.

Business loans fluctuate in line with wider perceptions about the economy

- Loans issued to businesses to finance expansion and operational activities account for a significant proportion of a bank's portfolio.
- Business loans are flexible and can be secured or unsecured, with a fixed or variable interest rate. These loans can be used for various purposes, from funding inventory purchases to acquiring fixed assets.
- Despite remaining negative improvements in business confidence alongside climbing, private capital expenditures have fuelled demand for business loans over the past few years.
- An elevated cash rate has prompted businesses to reconsider committing to costlier debt financing as consumer spending and the property market adjust to tighter financial conditions, subduing growth in this segment's revenue share in recent years.

Personal lending is changing as consumers embrace new payment systems

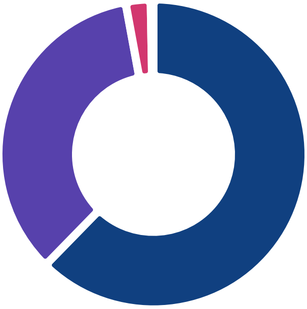
- The main types of loans in the personal lending product segment are personal loans, margin loans and credit cards. Personal loans are loans granted based on a borrower's credit rating and are typically unsecured and not guaranteed.
- Margin loans are issued to customers investing in securities that are used as collateral. Margin loan interest rates tend to be lower than personal loans as the loan is backed by the borrower's securities.
- Credit cards allow borrowers to purchase goods and services on credit, which is usually restricted by a limit. Revenue is generated from fees, charges and interest rates applied to the principal sums borrowed.
- Credit card spending has stagnated as alternative pay-later services have emerged. Financial institutions have responded by launching their own pay-later products. For this reason, personal loans have waned as a share of industry revenue in recent years.

Other revenue sources complement lending products

- Other sources of revenue for banks include fees on bank accounts, administration and maintenance fees, syndication fees, transaction processing fees and charges for overdrafts.
- Bank accounts supplement a range of banking and financial services provided by financial institutions.
- Existing customers are more likely to take out loans, make deposits or use other financial services provided by their main financial institution. This product segment has inched downwards as a share of industry revenue over the past few years in response to strong growth in the business loans segment.

Products & Services Segmentation

Industry revenue in 2025 broken down by key product and service lines.



Source: IBISWorld

What are innovations in industry products and services? Moderate

Consumers crave flexible payment systems

- Across the financial sector, consumers have embraced online payment and banking options. Moreover, they now expect this functionality, with banks adapting to this new normal.
- Contactless payment systems are well-integrated into the consumer buying cycle, with banks offering contactless payment through virtual wallets.
- Technology has become intertwined with modern banking services, forcing banks to adapt their online systems and maintain security, privacy and ease of use.
- Major banks have moved with consumer trends. For example, Commonwealth Bank launched StepPay in August 2021, a pay-later service integrated into the bank's existing ecosystem. Similarly, in 2023, Westpac became the last of Australia's big four banks to rollout a buy now pay later product, launching PartPay.

Banks tailor loans to fit different customer profiles

- Core banking services are well-defined, with money lent to customers or deposited in the bank. Within this, banks have room to adjust their products to meet diverse consumer and business needs.
- Increasingly vocal consumer and shareholder support for climate action has pushed banks to diversify their lending portfolios. Climate change is now being incorporated into a bank's wider risk assessment.
- Several major banks now offer specialised lending products to encourage sustainable actions. For example, Commonwealth Bank's 'Green Loan' targets customers wanting to install rooftop solar panels and battery energy storage.

Banks adopt artificial intelligence to enhance customer interactions and strengthen security

- Banks handle large volumes of customer queries and transactions, many involving repetitive requests that technology can efficiently manage. AI-driven chatbots and digital assistants increasingly allow banks to instantly respond to customer queries, speed up routine banking tasks and reduce time-consuming manual processes. For instance, Commonwealth Bank's AI-powered chatbot, Ceba, addresses customer questions and streamlines digital interactions.
- Banks increasingly rely on AI to enhance fraud detection and financial crime prevention capabilities. Machine learning algorithms rapidly identify abnormal account activities, reducing fraudulent transactions and strengthening customer protections. Westpac, for instance, employs advanced AI analytics that detects fraud in real-time, reducing operational risks and improving customer security.

- According to the 2024 AI Readiness in Australian Organisations study conducted by INFORM Australia and YouGov, banks lead other sectors in Australia in adopting AI technologies, with 83% of banking executives surveyed indicating their institutions have already implemented AI solutions.

Key Success Factors

What products or services do successful businesses offer?

Be willing to outsource when appropriate

Outsourcing non-core banking activities to other entities that have operational efficiencies in those areas allows banks to reduce costs and focus on their core activities.

Supply a diverse range of products

Banks that provide a variety of products and services can better adapt to shifting consumer habits. Loan alternatives with mixed variable and fixed rates, along with other up-front cash incentives, can attract more clients.

Major Markets

What's influencing demand from the industry's markets?

High interest rates are stretching households

- Households make up the largest market due to the volume of home and personal loans taken out each year.
- The value of funds deposited or borrowed by the average retail customer is relatively small compared with businesses and institutions.
- Record-low interest rates and government incentives to support first-home owners and boost construction activity during the COVID-19 pandemic added to a red-hot residential property market.
- From May 2022 to November 2023, the RBA aggressively raised the cash rate to combat inflation, passing higher rates onto borrowers. Rising loan repayments weakened housing affordability, slowing household borrowing. While the RBA eased rates slightly in early 2025 to provide some relief, the household market has shrunk as a share of industry revenue in recent years.

Businesses and institutions are riding a wave of capital spending

- Similarly to households, businesses and institutions deposit funds and borrow from banks.
- Businesses take out loans to finance their business activities, like paying their suppliers or expanding their operations. This market can deposit larger sums because of the scale of the income earned.
- The business market remains smaller than the retail market as banks have fewer business customers than retail customers.
- Strong capital expenditure has upheld steady demand from businesses and institutions in recent years, although businesses are wary of high interest rates cutting into consumer spending.

Major Markets Segmentation

Industry revenue in 2025 broken down by key markets

IBISWorld

Source: IBISWorld

International Trade

Some industries don't directly import or export goods. See reports at the manufacturing level for international trade data on relevant products.

Geographic Breakdown

Key Takeaways

Sydney is Australia's financial capital. New South Wales is home to most the branches, with banks setting up shop close to consumer, business and institutional markets.

Online banking is cutting branch numbers. With the advent of online banking, there has been less need for branch networks as the major banks invest heavily in financial technologies.

Business Locations

State	Estab. Units	Estab. %	Population %
NSW	962	33.2	31.3
VIC	669	23.1	25.7
QLD	632	21.8	20.6
WA	267	9.2	10.8
SA	209	7.2	6.9
TAS	72	2.5	2.1
ACT	46	1.6	1.7
NT	41	1.4	0.9

You can access and download additional years of data, including LGA-level data, at my.ibisworld.com.

Where are industry businesses located?

New South Wales has the most bank branches

- New South Wales is home to the largest number of bank branches in Australia, driven by Sydney's status as the country's financial hub. Most major commercial and investment banking activities are concentrated in Sydney, enabling banks to establish proximity to corporate clients, institutional investors and financial regulators.
- Major domestic banks, including Westpac and the Commonwealth Bank of Australia, have headquarters in Sydney. These locations reflect the historical prominence of NSW in the banking sector. Proximity to head offices also ensures seamless interaction between corporate teams and branch networks.
- While physical branch density in NSW remains high, the rapid adoption of digital banking services has begun to shift priorities. Banks are reducing less-used branch locations while investing heavily in online platforms and mobile apps to cater to evolving customer preferences. Despite this trend, NSW, specifically Sydney, remains a prime location for banking institutions because of its economic activity and extensive customer base.

Victoria and Queensland require robust banking services

- Victoria and Queensland have emerged as key locations for national and regional commercial banks because of their population density, economic strength and diverse industries. Melbourne, the capital of Victoria, is particularly significant, hosting the headquarters of ANZ Banking Group and National Australia Bank. These head office locations indicate Melbourne's key role in shaping the banking landscape by driving innovation and supporting large-scale commercial activities.
- With its booming property sector, mining operations and tourism, Queensland requires a robust banking presence to support its growing economy. Banks cater to the needs of both businesses and consumers through a mix of branch networks and digital services.
- A rise of neobanks and digital-first strategies has started reshaping banking models in these states. Leaps in online banking have reduced the need for an extensive branch network, as highlighted by the emergence of neobanks and banks with a low physical presence, like ING and Macquarie Bank. Despite the rise of digital alternatives, many banks in Victoria and Queensland maintain physical branches to support clients requiring face-to-face services.

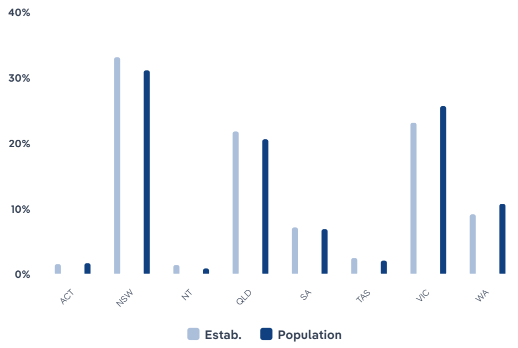
Other regions have a lighter banking presence

- States and territories outside New South Wales, Victoria and Queensland have fewer bank branches, which mirrors their lower population densities and reduced commercial activities. Banks in these regions cluster branches in state capitals or major regional centres to serve concentrated customer groups. For instance, regional banks like the Bendigo and Adelaide Bank align their branch strategies with the needs of rural and semi-urban communities.

- Physical banking infrastructure in many areas has been further reduced in recent years as financial institutions respond to the growing online and mobile banking trend. Many branches in less populated regions were permanently closed during the pandemic, signalling a broader industry shift towards digital-first strategies.
- Banks have sought new ways to provide services for rural customers with limited internet access, like partnering with Australia Post to offer in-person transactions. At the same time, mobile bank branches and enhanced customer service hotlines ensure financial inclusivity in remote areas as the industry continues transitioning to digital operations.

QLD has the largest spread of businesses compared to its population

Share of Estab. (%) vs. share of population (%)



IBISWorld Source: IBISWorld

Key Success Factors

How do businesses use location to their advantage?

Control distribution arrangements

Banks have increasingly modified branches to become sales centres for financial products to expand revenue. Modifications involve selling products and providing information to customers rather than solely being transaction-processing hubs.

Operate in a location that is close to key markets

Banks benefit from proximity to key downstream markets. For this reason, New South Wales and Victoria's significant populations and economic activity make them desirable locations for banks.

Competitive Forces

Key Takeaways

The big four banks reign supreme. CBA, Westpac, NAB and ANZ control most domestic banking. These banks boast solid reputations, with extensive physical and digital presences that capture widespread customer bases.

Banking is becoming more competitive. Smaller banks and foreign banks have emerged to challenge the traditional big four. The prevalence of digital banking offers niche opportunities for financial technology firms.

Concentration High

What impacts the industry's market share concentration?

The big four banks dominate the industry

- Four major banks account for most domestic banking services in Australia: Commonwealth Bank of Australia (CBA), Westpac Banking Corporation, National Australia Bank Limited (NAB) and Australia and New Zealand Banking Group Limited (ANZ).
- The big four banks benefit from an extensive branch presence, large customer bases, widespread loan books and well-established reputations. They boast strong credit ratings that give consumers and businesses peace-of-mind.
- The major banks integrate multiple service lines, which ensures customers use them as a one-stop shop for their financial needs.

Smaller banks fight for market share

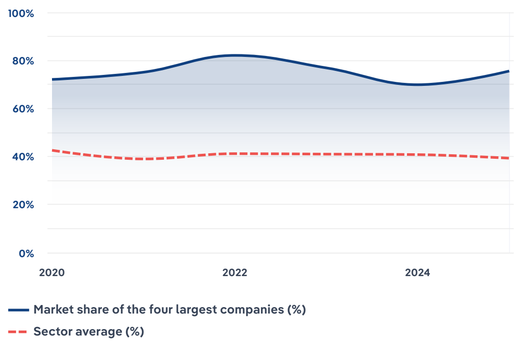
- Although the traditional big four banks have a stranglehold, smaller domestic lenders are encroaching on their territory.
- Financial technologies have paved the way for pay later companies to challenge banks in the consumer lending market.
- Foreign banks have been attracted to Australia's red-hot property market, solid economic activity and multi-national consumer base.
- The fallout from the Financial Services Royal Commission has prompted the major banks to revamp their lending processes and standards. APRA's stringent capital adequacy requirements have controlled the major banks' lending.

Digital banking is challenging the big fours market share

- The rise of digital-only banks, or neo banks, has intensified competitive pressures for banks by tapping into customer segments traditionally underserved by established banks, like younger and tech-savvy consumers who prefer streamlined digital experiences over traditional branch banking.
- Digital banks rely on user-friendly mobile apps, lower fees and personalised customer experiences to attract new users. Institutions like ING or Up Bank capture market share by offering customer-centric products, challenging traditional banks to innovate and modernise their offerings.
- While digital banks' market share remains relatively small compared with the big four, their growth signals the potential for change within the industry. As customers demand better digital services and personalised experiences, digital banks help prevent the established major banks from entirely dominating the industry.

Market Share Concentration

Combined market share of the four largest companies in this industry



IBISWorld Source: IBISWorld

Key Success Factors

How do successful businesses handle concentration?

Secure the latest and most efficient technologies and techniques

Investing in and properly applying technology, especially in retail banking, are crucial to banks' success. Technology allows banks to deliver services more efficiently through digital channels and expands their reach to younger demographics.

Develop a strong reputation

Banks with a well-known brand name and a strong track record for prudent financial management are more likely to draw in new clients. Banks that attract more clients are better positioned to expand their market share.

Barriers to Entry High Decreasing

What challenges do potential industry entrants face?

Legal

- Banks face stringent regulatory scrutiny to ensure financial stability and protect customers, posing significant legal hurdles for new entrants. Banks must consistently meet prudential obligations outlined by authorities like APRA and ASIC, requiring investment in compliance infrastructure and legal resources to avoid costly penalties for regulatory breaches.

Start-Up Costs

- Establishing a new bank involves considerable start-up costs, including extensive capital requirements and technology infrastructure investments. Although digital innovation has reduced dependence on physical locations, entrants still need secure, scalable platforms to manage capital flows and customer transactions, which presents a financial obstacle.

Differentiation

- New entrants must effectively differentiate themselves to compete successfully within an industry dominated by established brands like Commonwealth Bank and Westpac. Entrants typically gain customers by offering competitive loan products, attractive pricing and reliable, user-friendly digital services, positioning themselves distinctly from existing competitors.

Labour Expenses

- Even with the heightened use of digital tools, banks depend on skilled employees to manage institutional client relationships, complex transactions and compliance obligations. Securing qualified professionals capable of delivering customer service remains challenging and costly, especially for new entrants trying to rapidly establish credibility, attract customers and gain market share.

Key Success Factors

How can potential entrants overcome barriers to entry?

Be willing to outsource when appropriate

Outsourcing non-core banking activities to other entities that have operational efficiency in those areas allows banks to reduce costs and focus on their core activities.

Accommodate environmental requirements

New entrants can attract the expanding demographic of environmentally-conscious clients by providing sustainable lending practices and minimising their environmental footprint. This can help new entrants differentiate themselves from their competitors.

Substitutes Low Steady

What are substitutes for industry services?

Non-bank lenders

- Core banking services like deposit accounts, transactions and major lending remain primarily available from traditional banks, with limited direct substitutes accessible to consumers and businesses. Even so, member-owned building societies and credit unions offer services similar to banks, like loans and deposit account services. They function similarly to a bank but put profit back into the institution rather than external shareholders.
- In consumer lending, alternatives have emerged, notably buy now pay later (BNPL) providers like Afterpay and Zip. Though BNPL services don't fully replace traditional loans, they give consumers flexible short-term financing options, reducing banks' dominance in personal credit markets. The popularity of BNPL platforms among younger consumers highlights a shift towards more flexible borrowing methods, prompting traditional banks to adapt and innovate their lending practices.

Key Success Factors

How do successful businesses compete with substitutes?

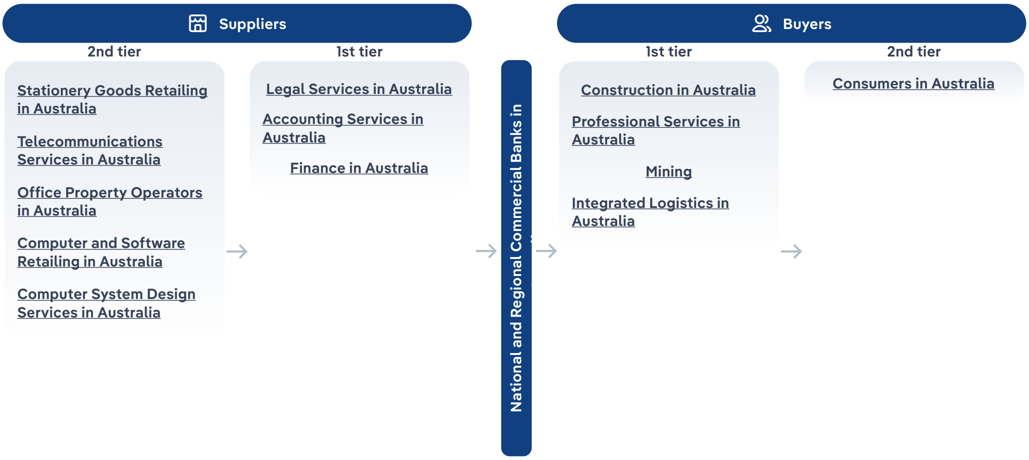
Provide easy access to clients

Banks that provide convenient, flexible and easily accessible products and services are better positioned to draw in new clients. Customer satisfaction is also crucial for banks to retain existing clients.

Maintain excellent customer relations

Banks that develop and maintain solid relationships with their clients through superior customer service, like the development of mobile apps, can limit the impact of substitutes.

Buyer & Supplier Power



IBISWorld

Source: IBISWorld

What power do buyers and suppliers have over the industry?

Low Increasing

Buyers: competition bodes well for consumers

- Consumers and businesses depend heavily on banks for financial products, particularly long-term loans and deposit account services, limiting their options beyond traditional banking institutions.
- As competition heats up, consumers stand to gain as banks battle for customers. To attract and retain clients, they offer cut-price loans and better returns on deposit accounts.
- In recent years, alternative service providers like buy-now-pay-later platforms have entered the consumer lending market, lifting competitive pressures on banks. These options boost buyer bargaining power, leading to improved choices, lower fees and more flexible financial services.

High Steady

Suppliers: banks need accounting and legal services

- Banks operate in domestic and international markets, which exposes them to prudential standards and fiduciary duties to their customers.
- Accounting and legal services are important for banks, as these professionals help them navigate a strong regulatory environment.
- Banks have in-house professional service departments, although they outsource some functions to cut costs and engage impartial auditors.
- Financial reporting regulations are onerous, with regular disclosures to APRA, shareholders and the wider public.

Key Success Factors

How do successful businesses manage buyer & supplier power?

Implement superior financial management and debt management

Managing interest rates and other operational risks is crucial to a bank's success. Banks must employ a rigorous and conservative risk management policy that meets regulatory standards and instils confidence in their clients.

Control distribution arrangements

Banks have increasingly modified branches to become sales centres for financial products to expand revenue. Modifications involve selling products and providing information to customers rather than solely being transaction-processing hubs.

Companies

Key Takeaways

Major banks focus on their core markets. The big four have restructured in recent years, cutting their global footprint to focus on core activities in Australian and New Zealand markets.

Green financing is coming to the fore. Banks are adjusting their investment portfolios to factor in climate risks, funding renewable energy projects and tailoring consumers' loans for small-scale solar panels.

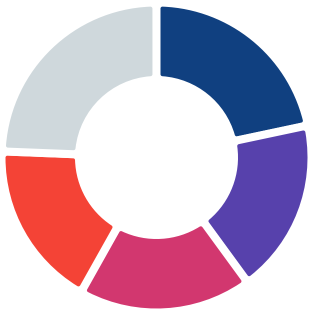
Major Players

Company	Revenue	Market Share
Commonwealth Bank of Australia	$56.3bn	21.7%
NAB	$47.4bn	18.3%
Westpac	$47.1bn	18.2%
ANZ Group	$45.3bn	17.5%
Other Companies	$63.1bn	24.4%

Market Share

Industry Market Share by Company

Industry-specific company revenue as a share of total industry revenue



Source: IBISWorld

IBISWorld

Companies

Company	Market Share (%) 2025	Revenue ($m) 2025
Commonwealth Bank of Australia	21.7	56,300.0
NAB	18.3	47,400.0
Westpac	18.2	47,100.0
ANZ Group	17.5	45,300.0

Company	Market Share (%) 2025	Revenue ($m) 2025
Bendigo & Adelaide Bank	2.0	5,111.8
Macquarie	1.1	2,767.7

Commonwealth Bank of Australia

Company Details

Industry Specific Revenue (2025)	$56.3bn
Industry Profit (2025)	N/A
Company Employees (2025)	51,346
Market Share (2025)	21.7%

Description

The Commonwealth Bank of Australia (CBA) is a publicly listed financial institution. CBA was listed on the ASX in September 1991, following the selldown of equity by the Federal Government. CBA provides a full range of financial products and services in Australia, New Zealand, Europe, the United Kingdom, the United States and the Asia-Pacific region. The bank employs approximately 49,000 full-time equivalent staff and is administered from its head office in Sydney.

Brands & Trading Names

- Aussie
- Aussie Home Loans
- Bankwest

Other Industries

- Money Market Dealers in Australia
- Mortgages in Australia
- Finance in Australia
- Credit Card Issuance in Australia
- Business Financing in Australia

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)
2013	22.4	34,000.0
2014	21.8	32,200.0
2015	21.4	32,400.0
2016	21.8	32,200.0
2017	23.5	33,900.0
2018	23.0	34,200.0
2019	22.2	34,000.0
2020	22.9	30,000.0
2021	24.7	25,700.0
2022	24.8	25,400.0
2023	20.4	41,100.0
2024	20.0	54,500.0
2025	21.7	56,300.0

What's impacting Commonwealth Bank of Australia's performance?

CBA's green loan aligns with Australia's accelerated path to net zero

- The introduction of the Business Green Loan in March 2024 presents a strategic edge for CBA, underscoring its dedication to abetting green practices through sustainable finance.
- CBA's commitment to sustainable financing is integral to its 2030 Sustainability Funding Target, which aims to deliver $70 billion in cumulative funding to sustainable industries and assets.
- CBA's Business Green Loan provides a strategic advantage by aligning its offerings with Australia's transition to net zero. With the Australian government's 2024-25 and 2025-26 Budgets further accelerating the nation's path to net zero, there are growing opportunities for CBA to finance sustainable projects and initiatives in the coming years.

Commonwealth Bank of Australia (CBA) focuses on core services in retail and business markets

- CBA's main business is retail banking, with business markets supplementing the bank's interest income.
- With over 17.6 million customers in 2023-24, CBA leverages its extensive network to combine lending, savings and investment services in an integrated online ecosystem.
- In recent years, CBA has cut down its business structure, refocusing on its core Australian retail and business banking activities. This saw sales of holdings in Colonial First State and Bank of Hangzhou in 2022.CBA also finalised the sale of its life insurance business, CommInsure Life, to AIA Group in April 2021.
- More recently, in 2024, it continued this approach by announcing its planned stake sale in the Indonesian subsidiary PT Bank Commonwealth. These divestments reflect CBA's deliberate repositioning to concentrate resources and strengthen its market position within Australia.

NAB

Company Details

Registered Name	National Australia Bank Limited
Industry Specific Revenue (2025)	$47.4bn
Industry Profit (2025)	N/A
Company Employees (2025)	41,000
Market Share (2025)	18.3%

Description

National Australia Bank Limited (NAB) is a locally owned public company, that derives revenue through providing banking services; leasing, housing and general financing; international, investment and private banking; wealth management services; custodian, trustee and nominee services; and credit and access card facilities. The company employs over 39,000 people, primarily operates in Australia and New Zealand, with branches in Asia, the United States and the United Kingdom, and is administered from its head office in Docklands, Melbourne.

Brands & Trading Names

- Bank of New Zealand
- UBank

Other Industries

- Finance in Australia
- Mortgages in Australia
- Superannuation Funds Management Services in Australia
- Money Market Dealers in Australia
- Business Financing in Australia
- Credit Card Issuance in Australia

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)
2013	18.3	27,700.0
2014	18.2	26,900.0
2015	17.8	26,900.0
2016	18.7	27,600.0
2017	18.6	26,800.0
2018	19.0	28,300.0
2019	17.7	27,000.0
2020	16.2	21,300.0
2021	15.9	16,600.0
2022	20.2	20,700.0
2023	20.8	41,900.0
2024	17.6	48,200.0
2025	18.3	47,400.0

What's impacting NAB's performance?

NAB reduces international operations to sharpen domestic strategic focus

- NAB has steadily scaled back its international presence to concentrate resources on core markets in Australia and New Zealand, aiming to reduce exposure to higher-risk segments.
- In response to continued underperformance prompted by UK austerity measures, NAB sold its UK banking subsidiaries—Clydesdale and Yorkshire banks—in February 2016. It also exited the US market by divesting its stake in its subsidiary, Great Western Bank, in July 2015.
- In May 2021, NAB completed the sale of its Australian wealth management division, MLC, to IOOF Holdings. More recently, in 2024, NAB announced the sale of its New Zealand wealth management operations to FirstCape Limited, a newly formed entity combining NAB's JB Were NZ and BNZ Investment Services with Jarden Wealth and Harbour Asset Management.

NAB expands digital banking services with strategic investments in cloud and acquisitions

- NAB acquired digital bank 86 400 in May 2021 to support customer growth and broaden the digital operations of its online-only banking arm, UBank. UBank was initially established as part of NAB in 2008 and has increasingly served as a key platform to capitalise on shifting consumer preferences towards online banking.
- NAB is transitioning key elements of its operations onto cloud-based systems. In November 2022, it named Amazon Web Services (AWS) an essential partner, using AWS technology to migrate its internal workflows, modernise digital processes and enhance service efficiency across the bank.

Businesses' pivot to sustainability fuels boom in NAB's green financing

- The significant growth in NAB's financing for electric vehicles over recent years underscores the broader shift towards sustainability in the Australian business sector and its ensuing influence on NAB's lending portfolio.
- NAB client, SIXT Australia, is actively using NAB's business financing for green equipment to progressively electrify its fleet, demonstrating the positive influence of NAB's green financing on businesses.
- According to NAB, one in five small and medium enterprises (SMEs) plan to invest in sustainability within two years, signifying a favourable future for NAB's green financing as more SMEs opt for green practices.

Westpac

Company Details

Registered Name	Westpac Banking Corporation
Industry Specific Revenue (2025)	$47.1bn
Industry Profit (2025)	N/A
Company Employees (2025)	35,236
Market Share (2025)	18.2%

Description

Westpac Banking Corporation is an Australian public company that provides financial services including lending, deposit-taking, payment services, foreign exchange services, superannuation and funds management, investment portfolio management, insurance services and other general financial services. The company has operations throughout Australia and New Zealand, as well as the Pacific Islands, Asia, Europe, and the United States. Westpac employs over 35,000 full-time equivalent employees across its operations and is headquartered in Sydney.

Brands & Trading Names

- Bank of Melbourne
- St.George Bank
- BankSA
- Westpac New Zealand
- RAMS
- St.George

Other Industries

- Money Market Dealers in Australia
- Finance in Australia
- Business Financing in Australia
- Credit Card Issuance in Australia
- Mortgages in Australia

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)
2013	20.8	31,500.0
2014	20.2	29,900.0
2015	20.0	30,200.0
2016	20.5	30,200.0
2017	20.4	29,400.0
2018	20.2	30,100.0
2019	19.4	29,600.0
2020	18.8	24,700.0
2021	19.7	20,500.0
2022	19.7	20,200.0
2023	19.4	39,100.0
2024	17.5	47,700.0
2025	18.2	47,100.0

What's impacting Westpac's performance?

Westpac reshuffles in light of the Financial Services Royal Commission

- Following the Financial Services Royal Commission, Westpac has rejigged its operations to focus on its core markets.
- Westpac streamlined its wealth management operations, absorbing relevant functions into consumer and business banking arms and aligning wealth offerings more closely with existing retail and business banking infrastructure. Westpac also divested its personal financial advice business to specialist advisory group Viridian, signalling its deliberate retreat from direct financial advice services.
- In June 2020, Westpac fully exited its interest in BT Investment Management, selling the remaining 9.5% ownership stake. The exit reduced complexity, freed up additional capital resources and reinforced Westpac's renewed emphasis on core banking competencies, consistency in service delivery and improved regulatory compliance.

Westpac accelerates investment in digital innovation to stay competitive

- In late 2019, Westpac strengthened its digital banking capabilities by investing strategically in banking-as-a-service (BaaS), partnering with specialist fintech firm 10X Future Technologies. It also integrated FrankieOne, an identity infrastructure firm, to enhance client onboarding, regulatory compliance and digital security.
- In 2021-22, Westpac completed the rollout of its new mobile application. The bank also launched Westpac DataX, a data analytics product that provides larger clients with sophisticated tools for deeper business analysis, insight-driven decision-making capabilities and more targeted financial solutions.
- In 2024, Westpac announced Project Unite, an extensive technology initiative backed by approximately $2 billion in investments extending through 2028. The initiative aims to consolidate technology platforms, simplify internal systems and processes, reduce operational complexity, improve employee efficiency and deliver more substantial shareholder returns.

Westpac is shifting its focus towards business lending

- Westpac has repositioned its core banking strategy towards the business lending segment, driven by the search for higher margins and growth opportunities in an environment impacted by inflation and weaker mortgage market activity.
- Westpac partnered with artificial intelligence provider Rich Data Co to strengthen this strategic shift, gaining advanced analytics capabilities to deliver customised services.
- Despite broader economic headwinds and inflation pressures over the two years through 2023-24, business lending demand has rebounded strongly. Westpac's growth in business lending notably exceeded its mortgage lending growth in the first half of 2023-24.
- By leveraging sophisticated data insights, Westpac effectively captures emerging growth sectors among businesses seeking capital,

responding more accurately and efficiently to changing customer priorities.

ANZ Group

Company Details

Registered Name	ANZ Group Holdings Limited
Industry Specific Revenue (2025)	$45.3bn
Industry Profit (2025)	N/A
Company Employees (2025)	42,698
Market Share (2025)	17.5%

Description

Australia and New Zealand Banking Group Limited (ANZ) is an ASX-listed Australian bank that began trading in 1835 as the Bank of Australasia. ANZ provides a full range of banking and financial services, with business segments including Australia Retail and Commercial, New Zealand, Institutional, Pacific, Technology, Services & Operations and Group Centre. The bank employs over 40,000 people and is administered from its head office in Melbourne.

Brands & Trading Names

- ANZ Plus

Other Industries

- Business Financing in Australia
- Money Market Dealers in Australia
- Finance in Australia
- Mortgages in Australia
- Credit Card Issuance in Australia

Company’s Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)
2013	14.4	21,900.0
2014	14.7	21,700.0
2015	14.5	21,900.0
2016	14.5	21,400.0
2017	15.2	21,900.0
2018	15.7	23,400.0
2019	15.0	23,000.0
2020	14.2	18,700.0
2021	14.8	15,400.0
2022	17.4	17,800.0
2023	16.4	33,100.0
2024	14.8	40,500.0
2025	17.5	45,300.0

What's impacting ANZ Group's performance?

ANZ to expand footprint with Suncorp Bank acquisition

- ANZ acquired Suncorp Bank following the Federal Treasurer's approval in June 2024 and amendments to the Metway Merger Act in July 2024. The acquisition has expanded ANZ's customer base and more importantly, broadened its footprint in Queensland's banking market.
- This acquisition will enhance ANZ's disaster management capabilities. The bank could benefit from a greater customer reach and an improved disaster resilience system, contributing to improved operations, customer satisfaction and sustained revenue growth in the coming years.
- ANZ absorbed Suncorp Bank's total lending of approximately $70.0 billion as of June 2024, which will lift the bank's loan book and revenue over the coming years.

ANZ launches ANZ Plus to counter neobanks in digital banking arena

- ANZ launched ANZ Plus in March 2022, a digital bank designed to compete with neobanks. ANZ Plus' operation cost is much lower than that of the traditional banking model. According to the bank, the cost of acquiring new customers is 45% lower while the cost of servicing these accounts is approximately 30% lower.
- ANZ Plus has experienced rapid uptake. As of June 2024, the digital bank has attracted approximately 850,000 customers with around $16 billion in deposits. In March 2025, the digital bank's number of customers reached the 1 million milestone and almost $20.0 billion in deposits, highlighting the scalability and robust growth rate it has enjoyed.
- By embracing digital transformation and prioritising customer-centric features and security within ANZ Plus, ANZ is aligning with global banking trends and effectively establishing its robust footing in the face of rising competition with neobanks.

ANZ is cutting unsustainable operations to refocus on its fundamental markets

- ANZ has focused on streamlining its operations in recent years, shifting to an institutional focus abroad and divesting its wealth business.
- Key divestments include selling its life insurance business to Zurich Financial Services Australia in June 2019, followed by the OnePath Pensions and Investments divestment to IOOF in February 2020. These sales signify a deliberate exit from wealth management operations.
- The restructuring reduces ANZ's exposure to non-core businesses, enabling it to concentrate on sectors with a competitive advantage. By streamlining its operations, ANZ is positioning itself for improved market performance while enhancing its focus on services aligned with institutional and commercial banking.

Bendigo & Adelaide Bank

Company Details

Registered Name	Bendigo & Adelaide Bank Limited
Industry Specific Revenue (2025)	$5.1bn
Industry Profit (2025)	N/A
Company Employees (2025)	4,762
Market Share (2025)	2.0%

Description

Bendigo & Adelaide Bank Limited is a publicly listed company on the ASX. With origins dating back over 150 years, Adelaide Bank Limited and Bendigo Bank Limited merged in November 2007 and officially formed Bendigo & Adelaide Bank Limited in March 2008. The combined revenue of the two banks has made Bendigo & Adelaide Bank Limited a significant industry participant. Bendigo & Adelaide Bank is headquartered in Bendigo, VIC.

Company's Industry Revenue, Market Share, and Profit Margin Over Time

Year	Market Share (%)	Revenue ($m)
2018	2.0	2,997.9
2019	1.9	2,921.2
2020	2.0	2,574.9
2021	2.2	2,250.2
2022	2.0	2,028.1
2023	1.8	3,686.3
2024	1.9	5,135.9
2025	2.0	5,111.8

What's impacting Bendigo & Adelaide Bank's performance?

Bendigo and Adelaide Bank snaps up Ferocia Pty Ltd

- In August 2021, Bendigo and Adelaide Bank picked up Ferocia Pty Ltd for $116 million in a share-based sale. Ferocia is a fintech provider.
- The takeover means Bendigo and Adelaide Bank can consolidate its control of the Up banking application. Launched in 2018, Up offers fully online banking services.
- The acquisition lets Bendigo and Adelaide Bank scale up Up, pushing forward its digitation transformation strategies. This also means they can further tailor financial services to younger demographics.

Bendigo and Adelaide partners with the NSW Government's shared equity scheme

- Bendigo and Adelaide Bank partnered with the New South Wales Government to administer the Shared Equity Home Buyer Helper scheme from January 2023 to June 2024. The initiative aimed to improve housing affordability for eligible buyers within the state.
- The program allowed buyers to purchase property with just a 2.0% deposit, while the NSW Government contributed up to 40% of the home's

equity. This approach reduced financial barriers for lower-income or first-time homebuyers.

- By collaborating on this scheme, Bendigo and Adelaide Bank facilitated access to homeownership for those who may struggle to save for traditional deposits, reinforcing its role in addressing housing challenges in partnership with government efforts.

You can view and download more company details on my.ibisworld.com.

External Environment

Key Takeaways

Capital adequacy ratio reforms will stabilise banks. New capital adequacy ratios came into effect in January 2023 to improve financial stability, with major banks forced to maintain minimum capital levels.

Banks are highly regulated to prevent instability. The Australian Prudential Regulation Authority and Australian Securities & Investments Commission keep a close eye on banks to protect consumers and maintain wider financial stability.

Regulation & Policy
High Increasing

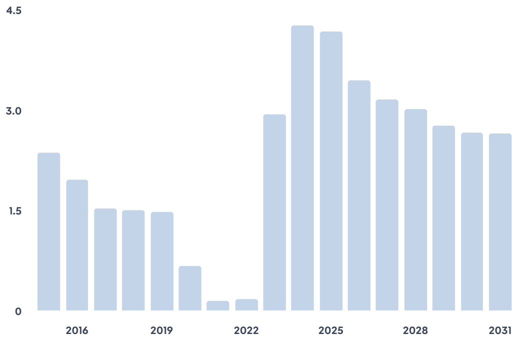
Assistance
Low Increasing

External Drivers

What demographic and macroeconomic factors impact the industry?

Cash rate

Percentage

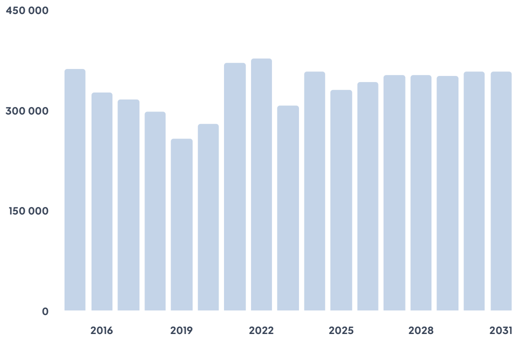


IBISWorld Source: IBISWorld

The interest on banks' lending products is linked with the RBA's cash rate. When the cash rate is high, banks can get a higher rate of return on their loans to businesses and consumers. On the other hand, a high cash rate can force consumers to spend less, or delay taking out loans.

Number of housing transfers

Units

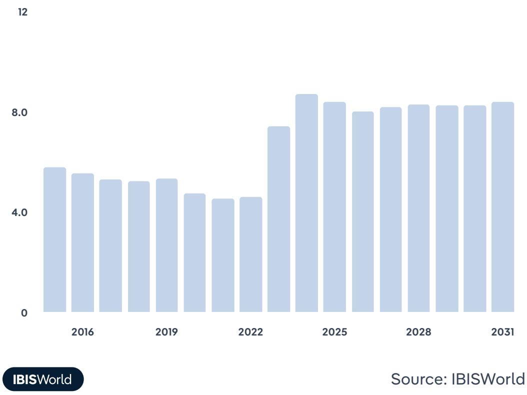


IBISWorld Source: IBISWorld

The number of housing transfers is used as a barometer for activity in the residential property market. More transfers show that people are purchasing homes, driving demand for mortgages and increasing the size of a bank's loan book. Drops in the number of housing transfers pose a potential threat to banks.

Residential housing loan rates

Percentage

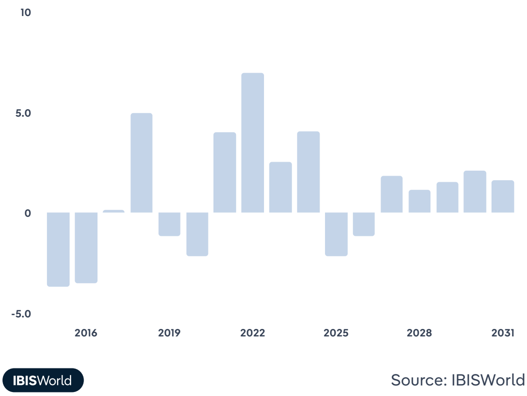


Source: IBISWorld

As residential housing loan rates rise, banks can generate interest income from their mortgage portfolio. While a drop in residential housing loan rates reduces the amount of interest income generated on mortgages, it can drive greater demand and growth in mortgage volumes as borrowing to purchase residential property becomes cheaper.

Total capital expenditure

Growth

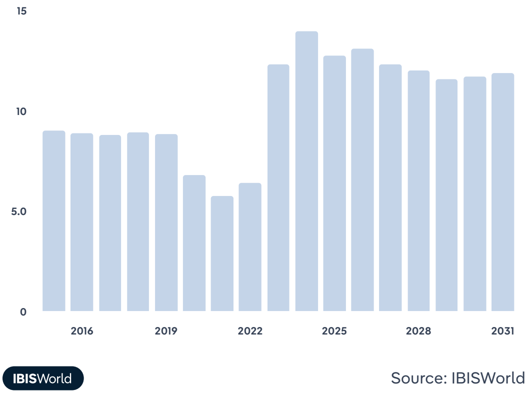


Source: IBISWorld

A bank's main activity is lending, which includes providing finance to businesses. While businesses can fund expansion or improvements with cash or equity, a large proportion of financing tends to be debt. A rise in capital expenditure typically drives greater borrowing, providing an opportunity for the industry to expand and positively affecting industry revenue.

Ratio of interest payments to disposable income

Percentage



Source: IBISWorld

The proportion of disposable income used to meet interest repayments affects the ability of households to service existing debt. Disposable income levels also limit individuals' ability to take on new debt. A high ratio of interest payments to disposable income represents an increasing debt burden on households, limiting their ability to take on additional debt and increasing the risk of default.

Regulation & Policy High Increasing

What regulations impact the industry?

Australian Prudential Regulation Authority (APRA)

The Australian Prudential Regulation Authority (APRA) supervises banks and other authorised deposit-taking institutions (ADIs) under the Banking Act 1959. APRA ensures these institutions comply with strict prudential standards, focusing on asset quality, liquidity management and capital adequacy to maintain financial stability. The authority regularly conducts assessments, including on-site visits, evaluating banks' loan portfolios, earnings sustainability and exposure to market and international banking risks. For example, APRA recently intervened to reinforce lending standards amid rising interest rates and housing market volatility, requiring banks like Westpac and Commonwealth Bank to implement stronger risk controls. These regulatory measures ultimately reduce market uncertainties and enhance confidence in the banking sector.

APRA's Revised Capital Framework

APRA introduced a revised capital framework on January 1 2023, following a delay from its initial 2022 schedule. Aligned with global Basel III standards, this framework increases capital requirements and improves risk measurement, enhancing financial resilience for banks. In 2024, APRA also announced intentions to completely phase out Additional Tier 1 (AT1) capital instruments by 2032, responding to concerns about their reliability during financial crises. Additionally, APRA's 2026 mandate sets higher capital benchmarks, compelling major banks—like Commonwealth Bank and Westpac—to maintain a minimum of 18.25% total capital relative to risk-weighted assets. These regulatory changes encourage banks to issue more Tier 2 capital instruments. These measures aim to simplify the banking sector's capital structure and ensure banks remain stable through economic downturns, protecting depositors and investors alike.

Australian Securities & Investments Commission (ASIC)

ASIC regulates banks and financial institutions to ensure fair conduct, transparency and responsible lending practices. ASIC enforces consumer protection laws and monitors compliance with financial regulations, holding banks accountable for their conduct towards customers. For instance, ASIC pursued legal action against Westpac in 2021 over breaches in responsible lending obligations, resulting in fines and tighter lending standards across the industry. By actively supervising lending activities, disclosure standards and financial advice practices, ASIC reduces the risk of misconduct and enhances transparency. Such regulatory oversight promotes consumer confidence in the banking sector and compels institutions to maintain high standards, protecting retail customers from financial harm.

Assistance Low Increasing

What assistance is available to this industry?

Government
Public support doesn't apply to the industry

The National and Regional Commercial Banks industry doesn't receive any direct public assistance.

Non-government
Australian Banking Association (ABA)

The ABA acts as an industry advocate for banks, engaging closely with government bodies, regulators and stakeholders to shape banking policy and regulations. The ABA provides banks with research, policy guidance and a unified voice to address industry challenges. The ABA's Banking Code of Practice outlines customer service standards beyond minimum legal requirements, improving transparency, accountability and consumer confidence. For instance, following the Financial Services Royal Commission, the ABA updated its code to enhance responsible lending practices and consumer protections, strengthening the industry's reputation and ensuring that banks operate responsibly.

Non-government
Scam-Safe Accord

The Scam-Safe Accord, launched by the ABA, aims to tackle rising financial scams affecting customers across the industry. The initiative introduces key protective measures, including "confirmation of payee," a name-checking system designed to ensure customers transfer funds only to verified recipients. Additionally, banks had to introduce at least one biometric authentication method—like facial recognition or fingerprints—for new online account registrations by the end of 2024. Enhanced alerts and deliberate delays on high-risk transactions, public awareness campaigns and employee training programs further strengthen consumer protection. These comprehensive measures improve the industry's security landscape, providing stronger safeguards against evolving scam threats.

Financial Benchmarks

Key Takeaways

Interest rate spread keeps banks profitable. Banks need to get more from their interest income than they spend on their interest expenses. Banks will have to manage their expenses in response to an elevated cash rate.

Banks incur steep wage costs. Banks rely on a skilled workforce to provide customer and financial services to clients. While banks need a lighter branch presence these days, labour is still a costly but vital expense.

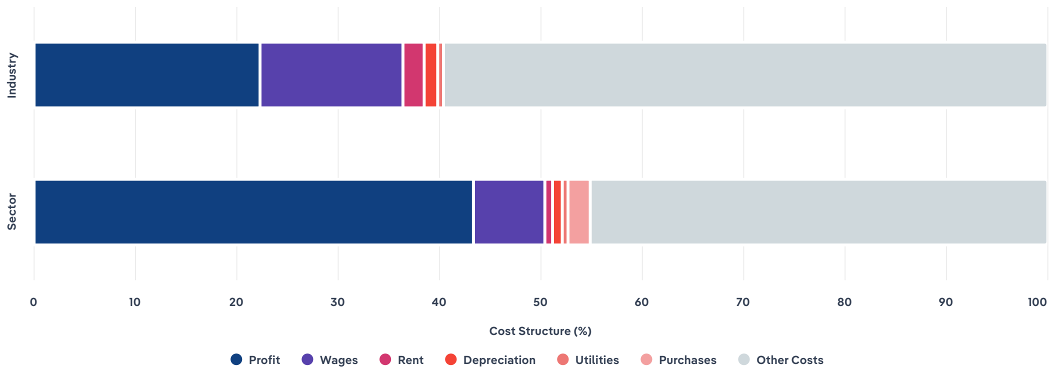
Profit Margin
22.3 %
Lower than sector

Average Wage
$230k
Higher than sector

Largest Cost
Other Costs
59.6% of Revenue

Cost Structure Benchmarks

Average operating costs by industry and sector as a share (%) of revenue 2025



IBISWorld Source: IBISWorld

Cost Structure Benchmarks

Operating costs	Industry (%)	Sector (%)
Profit	22.3	43.36
Wages	14.1	7.10
Other	100	-
Rent	2.1	0.74
Other	100	-
Depreciation	1.4	0.96
Utilities	0.5	0.53
Other Costs	59.6	45.11

Operating costs	Industry (%)	Sector (%)
Other	100	-

What trends impact industry costs?

Banks maintain an interest rate spread to ensure healthy profit margins

- To make a profit, banks need to maintain an interest rate spread – balancing the interest they gain on their loans with the interest they pay out on customers' deposits.
- Intensifying industry competition, notably within mortgage lending, has placed pressure on net interest margins. Major banks like NAB have responded by discounting their interest rates to maintain market share, narrowing profit opportunities across the industry.
- Elevated interest rates have pushed up the interest income banks receive on loans but have also raised interest deposit expenses and funding costs. Banks' average profit margins are lower than the broader sector's, primarily because of heightened regulatory and compliance costs.

Banks' labour costs are high, despite a lighter branch footprint

- The industry's largest non-interest expense is labour, as represented by wages.
- Although banks outsource routine and technologically intensive jobs, customer-facing roles remain vital for maintaining customer satisfaction.
- Having an easily accessible branch is important for retaining customers. Even so, the major banks have reduced their presence across Australia as digital banking becomes the new normal.
- Revenue growth has outstripped wage growth, contributing to wage costs tumbling as a share of industry revenue over the past few years. Even so, wages are a larger expense for the industry compared to the broader sector.

Interest expenses are the major cost for banks

- Interest expenses are a bank's biggest cost. This is determined by the amount, type and maturity of liabilities, market interest rate conditions, and competition in lending markets.
- Prior to May 2022, a low-interest rate environment cut banks' interest expenses. With the RBA lifting the cash rate over the past few years, interest expenses have heightened as banks pay out more on deposits and borrowing costs surge. Despite these recent hikes, a reduction in the cash rate over the year is set to alleviate some of the pressure on interest expenses.
- Other costs for banks also include payments for administration, fees and commissions, legal services, marketing and advertising and technology.

Tighter lending standards dampen bad or doubtful debts

- Tighter lending controls introduced following the Financial Services Royal Commission have reduced banks' exposure to high-risk borrowers. Banks now apply more thorough affordability and credit quality checks before approving loans, limiting defaults and reducing bad debts.
- Enhanced regulatory oversight by APRA and ASIC has led to banks improving their loan origination and borrower assessment procedures. By verifying customers' finances more carefully, banks have mitigated potential loan losses, shrinking bad and doubtful debts as a share of industry revenue in recent years.

Financial Ratios

Debt / Net Worth	Trade Receivables (%)	Cash Flow Coverage Ratio
-3.6 Lower than sector	0.1 Higher than sector	-0.4 Lower than sector

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Cash Ratio	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Current Ratio	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Days' Payables	26406.6	28607.5	9122.8	6620.0	5306.2	7016.3	15212.6
Days' Inventory	30157.2	27572.8	31087.6	1.0	N/A	15544.3	22204.6
Days' Receivables	11182.4	9094.7	5813.4	3678.0	3474.8	4322.1	6648.7
Payables Turnover	N/A	N/A	N/A	0.1	0.1	0.1	0.0
Quick Ratio	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Trade Receivables Turnover	N/A	N/A	0.1	0.1	0.1	0.1	0.1
Working Capital Turnover	N/A	N/A	N/A	N/A	N/A	0.0	0.0

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Cash Flow Coverage Ratio	-0.6	-0.6	-0.4	-0.4	-0.4	-0.4	-0.5
Current Liability Coverage Ratio	-0.5	-0.5	-0.5	-0.5	-0.5	-0.5	-0.5
Interest Coverage	-0.3	-0.3	-0.7	-1.0	-0.5	-0.7	-0.6

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Debt / Net Worth	4.9	4.9	6.6	7.0	-3.6	3.4	4.0
Fixed Assets / Net Worth	12.9	13.0	11.6	11.6	-4.7	6.2	8.9
Net Worth Ratio	-11.5	-10.8	-8.9	-11.4	49.7	9.8	1.4

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Asset Turnover	N/A	N/A	N/A	N/A	N/A	0.0	0.0
Cash & Equivalents (%)	17.3	17.3	20.9	21.9	23.9	22.2	20.3
Fixed Asset Turnover	N/A	N/A	N/A	N/A	N/A	0.0	0.0
Return on Total Assets (%)	-0.6	-0.6	-0.8	-0.6	-0.3	-0.6	-0.6

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Fixed Assets (%)	82.1	82.1	78.5	77.9	75.8	77.4	79.3
Inventory (%)	0.2	0.2	0.3	N/A	N/A	0.1	0.1
Total Current Assets (%)	17.7	17.7	21.3	22.0	24.0	22.4	20.6
Trade Receivables (%)	0.2	0.2	0.1	0.1	0.1	0.1	0.2

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Long Term Debt (%)	55.4	55.7	52.1	50.5	67.4	56.7	56.2
Short Term Debt (%)	0.2	0.2	0.3	N/A	N/A	0.1	0.1
Total Current Liabilities (%)	38.2	38.0	41.2	42.8	48.8	44.2	41.8
Trade Payables (%)	0.2	0.2	0.1	0.1	0.1	0.1	0.1

Ratio	2018	2019	2020	2021	2022	3 Year Average	5 Year Average
Expense / Income Ratio	0.9	2.0	0.9	0.8	5.3	2.3	2.0
Gross Profit Margin (%)	67.0	146.7	67.4	59.3	391.1	172.6	146.3
Mark Up (%)	205.3	197.2	212.3	226.1	201.1	213.2	208.4
Net Profit (%)	12.5	11.5	10.0	20.0	28.0	19.3	16.4
Return on Net Worth (%)	14.4	13.7	10.8	13.0	-8.4	5.1	8.7

Valuation Multiples

Ratio	2019	2020	2021	2022	2023	3 Year Average	5 Year Average
EV/Revenue	N/A	N/A	-14.1	-12.5	-9.5	-12.1	-12.1
EV/EBITDA	N/A	N/A	-14.5	-20.5	-9.7	-14.9	-14.9
EV/EBIT	N/A	N/A	-15.1	-21.2	-9.9	-15.4	-15.4

Key Ratios

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2007-08	1,403,036	20746.7	33.1	14787.0	182,890	13.0	446.8	31.7
2008-09	1,373,733	21523.3	31.8	15667.7	170,191	12.4	492.9	27.3
2009-10	1,254,590	21087.1	30.9	16808.0	186,790	14.9	543.2	37.3
2010-11	1,360,985	23086.3	31.2	16962.9	182,214	13.4	544.0	34.8
2011-12	1,367,923	16676.0	31.0	12190.7	176,852	12.9	393.1	35.3
2012-13	1,223,992	11878.2	32.0	9704.5	173,614	14.2	303.6	40.4
2013-14	1,218,276	10267.3	31.3	8427.8	188,390	15.5	269.4	45.7
2014-15	1,322,891	9210.5	30.0	6962.4	212,153	16.0	232.2	49.6
2015-16	1,219,895	7691.0	32.4	6304.7	200,802	16.5	194.7	47.2
2016-17	1,149,907	6320.6	33.2	5496.6	201,385	17.5	165.6	51.1
2017-18	1,205,772	5845.5	33.2	4848.0	200,442	16.6	146.2	50.7
2018-19	1,231,843	5328.5	35.7	4325.6	200,607	16.3	121.3	45.5
2019-20	1,045,689	3949.1	36.1	3776.6	199,244	19.1	104.5	44.3

Year	Revenue per Employee ($)	Revenue per Enterprise ($ Million)	Employees per Estab. (Units)	Employees per Enterprise (Units)	Average Wage ($)	Wages/ Revenue (%)	Estab. per Enterprise (Units)	IVA/ Revenue (%)
2020-21	787,156	3037.1	40.8	3858.4	204,301	26.0	94.6	67.9
2021-22	741,732	2925.0	42.8	3943.5	220,371	29.7	92.1	77.3
2022-23	1,347,741	5417.0	48.1	4019.4	220,965	16.4	83.5	43.7
2023-24	1,764,124	6731.2	51.2	3815.6	226,741	12.9	74.5	32.5
2024-25	1,629,949	6322.8	54.9	3879.1	229,569	14.1	70.7	37.8
2025-26	1,591,877	6125.5	57.7	3848.0	241,736	15.2	66.7	39.2
2026-27	1,625,918	6259.5	60.6	3849.9	254,307	15.6	63.5	39.6
2027-28	1,653,501	6304.8	62.2	3813.0	263,970	16.0	61.3	40.9
2028-29	1,612,638	6159.1	64.3	3819.3	272,945	16.9	59.4	40.5
2029-30	1,652,508	6251.4	65.3	3783.0	281,133	17.0	57.9	38.3
2030-31	1,689,095	6396.7	66.7	3787.1	289,005	17.1	56.8	37.7

Key Statistics

Industry Data

Values

Year	Revenue ($ Million)	IVA ($ Million)	Estab. (Units)	Enterprises (Units)	Employment (Units)	Wages ($ Million)
2007-08	248,960.4	78,920.5	5,361	12	177,444	32,452.8
2008-09	236,756.0	64,634.4	5,422	11	172,345	29,331.6
2009-10	210,871.4	78,655.0	5,432	10	168,080	31,395.6
2010-11	230,862.5	80,340.1	5,440	10	169,629	30,908.7
2011-12	233,463.5	82,412.6	5,504	14	170,670	30,183.3
2012-13	213,808.1	86,378.5	5,465	18	174,681	30,327.1
2013-14	205,346.5	93,843.4	5,387	20	168,555	31,754.1
2014-15	211,842.5	105,073.9	5,340	23	160,136	33,973.4
2015-16	207,657.8	98,014.5	5,256	27	170,226	34,181.7
2016-17	195,939.5	100,125.0	5,133	31	170,396	34,315.2
2017-18	198,748.6	100,765.6	4,972	34	164,831	33,039.1
2018-19	197,154.0	89,705.0	4,487	37	160,048	32,106.8
2019-20	165,863.0	73,477.3	4,388	42	158,616	31,603.3
2020-21	127,560.2	86,613.4	3,975	42	162,052	33,107.3
2021-22	117,000.8	90,441.6	3,685	40	157,740	34,761.3
2022-23	216,681.7	94,689.9	3,340	40	160,774	35,525.4
2023-24	282,711.4	91,881.2	3,127	42	160,256	36,336.6
2024-25	259,235.3	97,990.9	2,897	41	159,045	36,511.8
2025-26	251,145.7	98,449.1	2,734	41	157,767	38,138.0
2026-27	256,641.4	101,630.0	2,604	41	157,844	40,140.8
2027-28	258,495.1	105,724.5	2,514	41	156,332	41,267.0
2028-29	258,683.3	104,766.7	2,496	42	160,410	43,783.1
2029-30	262,557.1	100,559.4	2,433	42	158,884	44,667.6
2030-31	268,662.4	101,285.7	2,385	42	159,057	45,968.3

Note

Figures are inflation adjusted to 2024-2025

Industry Data

Annual Change

Year	Revenue %	IVA %	Estab. %	Enterprises %	Employment %	Wages %
2007-08	N/A	N/A	N/A	N/A	N/A	N/A
2008-09	-4.9	-18.1	1.1	-8.3	-2.9	-9.6
2009-10	-10.9	21.7	0.2	-9.1	-2.5	7.0
2010-11	9.5	2.1	0.1	0.0	0.9	-1.6
2011-12	1.1	2.6	1.2	40.0	0.6	-2.3
2012-13	-8.4	4.8	-0.7	28.6	2.4	0.5
2013-14	-4.0	8.6	-1.4	11.1	-3.5	4.7
2014-15	3.2	12.0	-0.9	15.0	-5.0	7.0
2015-16	-2.0	-6.7	-1.6	17.4	6.3	0.6
2016-17	-5.6	2.2	-2.3	14.8	0.1	0.4
2017-18	1.4	0.6	-3.1	9.7	-3.3	-3.7
2018-19	-0.8	-11.0	-9.8	8.8	-2.9	-2.8
2019-20	-15.9	-18.1	-2.2	13.5	-0.9	-1.6
2020-21	-23.1	17.9	-9.4	0.0	2.2	4.8
2021-22	-8.3	4.4	-7.3	-4.8	-2.7	5.0
2022-23	85.2	4.7	-9.4	0.0	1.9	2.2
2023-24	30.5	-3.0	-6.4	5.0	-0.3	2.3
2024-25	-8.3	6.6	-7.4	-2.4	-0.8	0.5
2025-26	-3.1	0.5	-5.6	0.0	-0.8	4.5
2026-27	2.2	3.2	-4.8	0.0	0.0	5.3
2027-28	0.7	4.0	-3.5	0.0	-1.0	2.8
2028-29	0.1	-0.9	-0.7	2.4	2.6	6.1
2029-30	1.5	-4.0	-2.5	0.0	-1.0	2.0
2030-31	2.3	0.7	-2.0	0.0	0.1	2.9

Note

Figures are inflation adjusted to 2024-2025

Key Success Factors

How do successful businesses overcome volatility?

Implement superior financial management and debt management

Managing interest rates and other operational risks is crucial to a bank's success. Banks must employ a rigorous and conservative risk management policy that meets regulatory standards and instils confidence in their clients.

Raise revenue from additional sources

Banks that offer a range of products and services can better help offset tumbling revenue on loans during tougher periods.

What products or services do successful businesses offer?

Be willing to outsource when appropriate

Outsourcing non-core banking activities to other entities that have operational efficiencies in those areas allows banks to reduce costs and focus on their core activities.

Supply a diverse range of products

Banks that provide a variety of products and services can better adapt to shifting consumer habits. Loan alternatives with mixed variable and fixed rates, along with other up-front cash incentives, can attract more clients.

How do businesses use location to their advantage?

Control distribution arrangements

Banks have increasingly modified branches to become sales centres for financial products to expand revenue. Modifications involve selling products and providing information to customers rather than solely being transaction-processing hubs.

Operate in a location that is close to key markets

Banks benefit from proximity to key downstream markets. For this reason, New South Wales and Victoria's significant populations and economic activity make them desirable locations for banks.

How do successful businesses handle concentration?

Secure the latest and most efficient technologies and techniques

Investing in and properly applying technology, especially in retail banking, are crucial to banks' success. Technology allows banks to deliver services more efficiently through digital channels and expands their reach to younger demographics.

Develop a strong reputation

Banks with a well-known brand name and a strong track record for prudent financial management are more likely to draw in new clients. Banks that attract more clients are better positioned to expand their market share.

How can potential entrants overcome barriers to entry?

Be willing to outsource when appropriate

Outsourcing non-core banking activities to other entities that have operational efficiency in those areas allows banks to reduce costs and focus on their core activities.

Accommodate environmental requirements

New entrants can attract the expanding demographic of environmentally-conscious clients by providing sustainable lending practices and minimising their environmental footprint. This can help new entrants differentiate themselves from their competitors.

How do successful businesses compete with substitutes?

Provide easy access to clients

Banks that provide convenient, flexible and easily accessible products and services are better positioned to draw in new clients. Customer satisfaction is also crucial for banks to retain existing clients.

Maintain excellent customer relations

Banks that develop and maintain solid relationships with their clients through superior customer service, like the development of mobile apps, can limit the impact of substitutes.

How do successful businesses manage buyer & supplier power?

Implement superior financial management and debt management

Managing interest rates and other operational risks is crucial to a bank's success. Banks must employ a rigorous and conservative risk management policy that meets regulatory standards and instils confidence in their clients.

Control distribution arrangements

Banks have increasingly modified branches to become sales centres for financial products to expand revenue. Modifications involve selling products and providing information to customers rather than solely being transaction-processing hubs.

Call Prep Questions

Role Specific Questions

Sales & Marketing

What cross-selling opportunities exist for your business?

- Larger banks typically provide a range of services and a one-stop shop for consumers and businesses.
- Most of the major banks are moving away from wealth management, reducing the number of channels through which financial products can be sold.

How, or to what extent, does consumer and business sentiment affect your lending activity?

- Different banks have focuses and niches, including consumer, housing or commercial lending.
- In addition to sentiment, residential property values have had a significant influence on lending activity.

Strategy & Operations

How do your profit margins compare with competitors?

- APRA has lifted the capital benchmarks financial institutions must meet.
- Sufficient capital is needed to maximise lending activity, revenue and profitability.

How do you manage your risk and exposure to different markets?

- Banks need to ensure a stable cashflow to meet any obligations as they fall due.
- Lenders need to maintain an adequate level of capital to remain compliant with capital adequacy requirements.

Technology

What cyber threats are your operations exposed to?

- Continual changes in the technological landscape of banking expose banks to various cyber risks.
- Contactless payment, Pay ID and mobile payment increase the channels through which threats can be posed.

How do your mobile and online banking platforms compare with those of other financial institutions?

- The convenience and usability of banking platforms are key points of difference for banks.
- Significant investment in mobile banking and payment has been made over the past five years.

Compliance

How have changes following the Financial Services Royal Commission affected you?

- Consumer and business lending practices could tighten in the future.
- Banks and other financial institutions need to ensure strong internal processes to avoid any conflict of interest or breach of obligations.

How have higher capital adequacy requirements affected your business?

- Increased capital requirements have raised the prices on lending products.
- APRA has raised capital benchmarks.

Finance

What is your optimal capital structure?

- Different levels of debt and equity can affect the pricing on various lending and financial products.
- Maintaining an optimal capital structure can maximise your return to various stakeholders.

What is your funding mix?

- Banks should have diversified sources of capital to reduce the risk of an increase in cost of funding over any single source.
- The major banks are increasingly offering capital notes and hybrid securities to raise capital to meet greater capital adequacy requirements.

External Impacts Questions

Cash rate

How do you monitor changes in the cash rate?

- A higher cash rate generally increases interest rates charged on outstanding balances of a bank's lending portfolio.

Ratio of interest payments to disposable income

How does the rate at which debt is taken on compare with growth in disposable income levels?

- When the ratio of interest payments to disposable income is high, households' debt burden generally increases.

Total capital expenditure

How do you track total capital expenditure?

- A rise in capital expenditure typically increases borrowing, which positively influences industry revenue.

Internal Issues Questions

Superior financial and debt management

How do you maintain superior financial management systems?

- Banks must employ a rigorous and conservative risk management policy that meets regulatory standards.

Control of distribution arrangements

How can you improve your distribution arrangements?

- Modifications involve selling products and providing information to customers, rather than solely being transaction-processing hubs.

Willingness to outsource when appropriate

What opportunities are available to increase the scale of your business following outsourcing of certain functions?

- Outsourcing non-core banking activities allows banks to reduce costs and helps improve profit margins.

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